

Nigerian DisCos & KEDCO

Loss & Revenue Recovery

Operational and Commercial Performance Assessment (2025)

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1. Executive Summary & Methodology

This report presents a dual-layered business intelligence assessment of Nigeria's electricity distribution sector. It first evaluates the macro-level operational metrics across all national Distribution Companies (DisCos), followed by an exhaustive commercial deep-dive into the **Kano Electricity Distribution Company (KEDCO)**.

Using 2025 performance data, the analysis relies on rigorous ETL processes (Power Query) and advanced Data Modeling (Power BI). Custom DAX measures were engineered to dynamically calculate Billing Efficiency, Collection Efficiency, and Aggregate Technical, Commercial, and Collection (ATC&C) Losses.

2. National DisCos Overview

The nationwide data reveals a sector struggling with significant revenue leakage, despite reasonable billing capabilities. The overall National ATC&C Loss stands at **36.38%**, consistently trending above the 20% MYTO target.

Macro Revenue Gap & Losses

Across the nation, DisCos received energy valued at **₦3.64 Trillion** and successfully billed **₦3.0 Trillion** (a Billing Efficiency of 81.94%). However, actual Revenue Collected was only **₦2.32 Trillion** (Collection Efficiency of 77.65%).

This resulting **₦1.33 Trillion** in lost revenue is distributed almost equally nationwide: **₦667.97 Billion** is attributed to collection failures, while **₦658.29 Billion** stems from billing revenue losses (technical losses and unmetered consumption).

Top and Bottom Performers

Eko and Ikeja DisCos are the benchmark for commercial viability, posting the lowest ATC&C losses (27.98% and 27.99%) and the highest collection efficiencies (~87.9%). Conversely, **Kaduna (62.58%), Jos (62.23%), and Kano (49.71%)** represent the most distressed regions in terms of aggregate losses.

3. KEDCO (Kano) Deep-Dive Findings

Transitioning from the national average to KEDCO reveals a highly unique and localized commercial profile. KEDCO's operational bottleneck is severely isolated to the collection phase of the value chain.

The Efficiency Paradox: Stellar Billing, Poor Collection

Kano boasts an exceptional **Billing Efficiency of 92.57%**, ranking 2nd nationally and outperforming the national average by 10.63%. From ₦204 Billion in energy received, KEDCO successfully bills ₦188.45 Billion.

However, KEDCO suffers a catastrophic drop at the final hurdle. Its **Collection Efficiency is only 61.38%** (16.27% below the national average). Despite billing ₦188.45 Billion, the company only recovers ₦111.70 Billion.

The 82% Skewed Revenue Loss Profile

While the national revenue loss is a 50/50 split between billing and collection, Kano's profile is heavily skewed. Of its total ₦85.40 Billion revenue loss, **82.3% (₦70.28 Billion) is strictly collection revenue loss**. Only 17.7% (₦15.12 Billion) is lost via billing infrastructure.

ATC&C & MYTO Target Deficit

Due to the massive collection failure, KEDCO registers an **ATC&C Loss of 43.18%**, which leaves a 22.60% gap from the regulatory target. Monthly trend analysis shows volatile collection efficiency dipping as low as ~55% in June, severely hindering consistent cash flow.

4. Strategic Recommendations for KEDCO

Given that Kano's financial leakage is overwhelmingly (82.3%) a *collection* problem rather than a *billing* problem, interventions must be precision-targeted:

- **Mandatory Pre-paid Transition:** Aggressively scale meter deployments specifically tailored to post-paid consumer nodes that show historic non-compliance. Transitioning to pre-paid infrastructure eliminates collection loss instantly.
- **Debt Recovery Taskforce Deployment:** Since Kano successfully bills its consumers, the invoices exist. A targeted taskforce focusing on the highest-value debtor nodes (commercial and heavy residential) is required to close the ₦70.28 Billion collection gap.
- **Digital Channel Optimization:** Investigate and reduce friction in the consumer payment journey. If consumers are billed (92.57% efficiency) but not paying, digital and localized payment infrastructure must be fortified to incentivize on-time settlements.

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